disinvestment of TOMCO and said that the sale had proved ‘controversial’. He said: ‘I got a banging from the media, from the stock market, from our own people, who said that I was destroying a tradition.’ Even his father was generally against the sale of any Tata asset and it confessedly ‘frightened [Ratan]’.

However, as a study of Harvard Business School had concluded, it was a decision that Ratan had taken to ‘convert the Tata Group into a tighter, leaner organization’.

Bowing Out

By the beginning of 1994, Darbari Seth decided to retire from the group. It was a choice he made on his own, though several newspapers screamed that his decision was another coup staged by Ratan. Many saw it as Ratan’s attempt to consolidate power. He had, however, not sought Seth’s removal.

There was a substantial meeting of minds between the two on several important issues. For instance, he supported Ratan’s proposal to levy fees on companies for the use of the Tata name. His support also extended to Ratan’s plan to institutionalize reforms, particularly the retirement policy, though it would adversely affect him personally.

In a letter to Ratan, Seth said that he had been ‘advocating, for a long time now, a firm retirement policy’, and wrote: ‘I … congratulate you for winning the unanimous support of your colleagues in Tata Sons [for implementing] … this rather difficult and sensitive subject.’ When Tata Sons approved the retirement policy on 15 July 1992, Seth resigned as MD of Tata Chemicals. He, however, continued to be its chairman. He also assured Ratan that he would recommend the retirement policy to the companies of which he was the chairman and ‘urge that this retirement policy be accepted and implemented without making any exceptions or compromises’.

On 11 March 1994, Seth sent a letter marked ‘Secret’ to all the directors of Tata Chemicals, stating that he had decided to retire as its chairman from 31 March. He could have stayed on for one more year, until he turned seventy-five, under the new policy. He was, however, unwilling and said: ‘I must now retire and make way for the next generation.’ He gradually stepped down from the boards of Tata Tea, Rallis India and Tata Tetley as well.